British Consulate,
Tamsui,
Formosa.

No. 22.

7th May, 1952.

914/S.1/52.

FJ 10310/79

Copied to:-

H.M. Ambassador, Tokyo, No. 11.
H.M. Charge d'Affaires, Peking, No. 10.
Commissioner-General, Singapore, No. 12.
Colonial Secretariat, Hong Kong, No. 11.

CONFIDENTIAL.

FJ10310/77

FJ10310/72

Sir,

I have the honour to refer to my despatch No.16 of the 7th April, 1952, on the subject of the bilateral peace treaty between Japan and Nationalist China. The signature of this treaty on 28th April, enables me to bring the account of the negotiations to a conclusion. Copies of the authentic text have already been forwarded under my letter No.873 of 30th April to China and Korea Department. A diary of events between the 4th and 28th April is attached as Annexure "A" to this despatch, some brief comments on the treaty, article by article, are given at Annexure "B", and Dr. George Yeh's statement following the signing ceremony, is reproduced at Annexure "C".

2. After negotiations extending over 67 days and much hard bargaining, the plenipotentiaries, Dr. George Yeh and Mr. Isao Kawada, signed the bilateral treaty in Taipei at 3.15 pm local time on 28th April, just 7¼ hours before Japan regained her status as a sovereign nation through the formal deposition in Washington of the United States Government's ratification of the multilateral treaty. The ceremony took place before about 200 of the leading Nationalist officials, but President Chiang Kai-shek did not himself attend. Contrary to the usual practice, however, the diplomatic corps were not invited to be present.

/ 3.

Her Majesty's
Principal Secretary of State
for Foreign Affairs,
Foreign Office,
London, S.W.1.

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3. In general, the treaty is an abridged and simplified version of its San Francisco progenitor, adapted to meet the particular problems confronting Japan and Nationalist China in their mutual relationship. It consists of a preamble, 14 articles, 2 exchanges of notes and 4 agreed minutes. The treaty proper and protocol are bound together in one volume, but the exchanges of notes and agreed minutes are each separate documents.

4. The treaty can generally be regarded as satisfactory, in that it ends the state of war between Japan and Nationalist China and provides a basis for the settlement of outstanding problems. In spite of periods of strained relations during the negotiations, a friendly atmosphere prevailed at the end, which should be helpful in reaching agreement on the matters deferred for later settlement. On the whole, the treaty is non-provocative, and this should ensure its ratification by the Japanese diet without serious opposition. It should be noted that, according to Japanese practice, the exchanges of notes, but not the agreed minutes, must be tabled before the diet. The necessity of submitting the controversial subject of "puppet regime" property to the diet for approval is thus avoided. As Chiang Kai-shek has already approved the terms of settlement, it is not expected that the Legislative Yuan will raise difficulties on the Chinese side. Ratification by both sides is expected to be completed by the end of April. ! May.

5. The Japanese approached the negotiations with the intention of signing a limited treaty with the Nationalists as the regional authorities in control of Formosa, based on the Yoshida letter to Dulles, and - with reservations - on the San Francisco treaty. The instructions to the delegation were to regard the Nationalists as "a government" and not as "the Government of China". Following logically from this, they tried to steer clear of entanglement with problems arising out of their occupation of Manchuria and other parts of continental China which would tend to prejudice any trade or other "agreements" they might in future wish to make with the Central Peoples' Government, and jeopardise ratification by the diet. Lastly, their tactics and behaviour during the progress of the negotiations gave the appearance that they intended to protract the discussions until the San Francisco treaty became effective and they could sign the bilateral treaty as a sovereign power. (This point is discussed more fully in paragraph 8 below).

6. The Chinese approached the problem from a different angle. On the material side, they demanded little beyond what they had already taken, and adhered to their proclaimed policy of a generous settlement with a defeated Japan. But they were more concerned with the moral factors, such as the recovery of their prestige and "national honour" after their failure to participate in the San Francisco treaty, and the establishment of Japanese recognition of their position as one of the victor allied nations and of their sovereignty over the mainland. They also raked up old scores, as far back as the Mukden incident of 18th September, 1931.

7. As in most bargaining, the final result was a compromise, with the Chinese having gained, perhaps, rather more than the Japanese might have been expected to concede. They gained Japanese recognition of their status as one of the allied nations (with certain reservations), and a qualified recognition of

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their sovereignty over the mainland. They achieved signature before Japan regained her sovereignty. They won the day over civil air navigation rights and forced inclusion of the "puppet regime" property question, though admittedly the terms of settlement were vague and relegated to the sphere of an agreed minute. On the other hand, the Japanese successfully resisted the inclusion of any admission of liability in principle on payment in cash, kind or services, for reparations, and excluded all reference to the date of opening of hostilities. The above points are more fully discussed below and in Annexure "B".

8. The timing of events so that signature took place on the same day but a few hours earlier than the effectuation of the multilateral treaty, isdifficult to explain, in that it obviously lay within the power of the Japanese government to prolong the negotiations the few extra hours necessary to allow them to sign as a sovereign power. It seems almost as if, having demonstrated their power, they contemptuously made this last minute concession to Chinese "face". That the Chinese attached great significance to the time of signature is proved by the indecent haste with which the preparations for the ceremony of signature were pushed forward, as soon as the Japanese agreement was known. A satisfactory explanation would have been that the Japanese had played on Chinese sensitiveness as to the time of signature in order to win some substantial concession on the matters finally remaining in dispute. This explanation, however, is not tenable, since the gap at the end between the different points of view was very small. Possibly the Japanese merely wished to avoid the limelight and considered that the signing of the bilateral treaty would attract less notice in the world press if announced on the day when all eyes were focussed on the recovery of her independence. Whilst any of the above explanations may be the true one the possibility of pure co-incidence cannot be ruled out. In support of this, Mr. Kimura, the head of the Japanese Overseas Agency in Taipei, has assured me in informal conversations that the Japanese Government had no wish to protract negotiations until after the multilateral treaty became effective.

9. Whilst the treaty contains no specific acknowledgement of Nationalist sovereignty over the mainland, the Nationalists can claim at least a qualified recognition is implicit in certain articles of the treaty, notably articles IV and V of the treaty proper(somewhat surprisingly accepted by the Japanese without demur) and the second and third agreed minutes. It can reasonably be argued that Japan, by the acceptance of these articles, acknowledges the Nationalists as the lawful successors to previous Chinese governments which were in control of the mainland. The formula in the first exchange of notes governing the scope of application may also be claimed as a qualified acknowledgement of Nationalist rights on the mainland. It is certainly unusual to include a provision in an open treaty(though admittedly not in the treaty proper or protocol), whereby one power undertakes to apply the terms of the agreement to territory over which the other power may subsequently gain control. Although the Chinese failed to obtain inclusion of a clause specifically acknowledging their sovereignty over the mainland they succeeded in establishing their claim to be treated as something more than a local regime.

/ 10.

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10. The Japanese were adamant in their stand on reparations. They refused to consider payment of reparations for damage on Formosa, for which, they correctly argued, they could not be held responsible as it was caused by Allied action. They likewise refused even to discuss reparations in respect of damage on the mainland and successfully resisted the Chinese demand that a clause should be included, such as Article 14(a) of the San Francisco treaty, admitting their liability in principle. In the end, the Chinese had to be satisfied with the implication of Japanese liability contained in their waiver.

11. The solution of the difficult problem of Japanese property in Formosa has been shirked. Article ~~III~~ of the treaty proper provides for later settlement of this and other property questions. In fact, of course, all Japanese property in Formosa has already been confiscated by the Nationalists and the Japanese have no hope of recovery. The legal position is somewhat complex. Under Article 14(a)2(i) of the San Francisco treaty, Japan relinquished, with certain exceptions, all claim to her property in allied countries, which term would include "China". The status of Formosa is, however, as yet undecided. Japan has relinquished her claim to it but its final disposal has not yet been settled by the United Nations. The seizure of Japanese property in Formosa by the Nationalists has, therefore, no strict legal basis and ~~may~~ many unfortunate repercussions result from this anomalous situation.

12. The Japanese cannot be absolved from the suspicion that they employed delaying tactics(see paras.5 and 8 above). Through their need to ensure ratification in the American Senate they were, perhaps, forced to begin negotiations earlier than they wished. Whatever their real motive may have been, many of their actions during the progress of negotiations seemed calculated to delay settlement. For example, the initial argument over the title of the treaty dragged on for a fortnight. Then a series of new and often trivial objections were raised as soon as the old problems were disposed of. And finally, there was the rejection on two occasions, by the Japanese Government, of the terms agreed by their plenipotentiary.

13. The Nationalists were extremely tenacious in their claim to be regarded as one of the allied nations and for equal treatment with them. The Japanese resisted this claim strongly but finally gave way, and Nationalist rights are clearly established in Article XI of the treaty proper and paras. 1(a) and 2(a) & (b) of the protocol.

14. Comment in Taipei by prominent Chinese and in the press has been generally favourable and can be summed up in the words of the Chairman of the Legislative Yuan, Chang Tao-fan, that it is the "best obtainable in the existing situation".

15. In conclusion, the treaty has enabled normal relations to be resumed between Japan and Formosa and paves the way for the settlement of outstanding problems. These are many and formidable and include, in addition to those reserved in the treaty for later settlement, such matters as immigration, residence and travel of Japanese businessmen, claims by Formosans in respect of war-time requisitions, insurance premiums frozen after the outbreak of war, losses through depreciation of currency, etc. There are also problems in connection with the position of

/ Formosans

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Formosans resident in Japan. It will be interesting to watch the progress of negotiations on these matters, now that Japan has regained her sovereign status.

I have the honour to be,
with the greatest respect,
Sir
your most obedient
humble servant,

(E.H. Jacobs-Larkcom)
Consul.

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Annexure "A".

DIARY OF EVENTS, 4TH - 28TH APRIL, 1952.

5th April. — Wajimi, director of the Asia Department of the Japanese Ministry for Foreign Affairs, visited Taipei for the second time. It is believed he carried modified instructions.

8th April. — Thirteenth informal meeting. Fresh Japanese counter-proposals presented, which were a compromise between those of 12th March and the solution reached by the delegates at the tenth informal meeting on 25th March.

12th & 13th April. — Four informal meetings(fourteenth to seventeenth) held in the course of two days. Apart from further discussions of the scope of application, reparations, and Nationalist status as an Allied Nation, the Japanese raised difficulties over the commerce, trade and navigation clause, and asked for inclusion of an article dealing with residence, exit and entry. This latter, the Chinese resisted as inappropriate for inclusion in a peace treaty. At the conclusion of these meetings, it was understood that the delegations had reached tentative agreement on most issues, including reparations, except that the wording had not yet been settled, since the date of the beginning of hostilities was still in question.

14th April. — 18th informal meeting. Discussions centered on the restoration of Manchukuo, Mongolian and Wang Ching-wei assets in Japan. To concede this would imply Japanese acceptance of 18th September, 1931 as the date of opening of hostilities. There was also a technical discussion on the wording of the scope of application clause. Simultaneously, a sub-committee was putting the last touches on the draft of the section on which agreement had been reached. The Ministry of Foreign Affairs communique laconically stated that there had been "less result than had been expected".

15th April. — 19th informal meeting. Discussions continued to centre round the same two points with little progress being made. Both delegations claimed that no further concessions could be made.

16th April. — 20th informal meeting. Provisional agreement reached by delegates on all points, the treaty in its agreed form consisting of a preamble, 14 articles, 2 protocols. In addition, there are 2 exchanges of notes and one recording of agreed minutes. Kawada referred the terms of settlement to Tokyo for approval.

/ 17th April.

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17th April. The Japanese Government for the second time rejected the terms of the settlement reached by their plenipotentiary, Kawada, with the Chinese plenipotentiary, George Yeh. The instructions from Tokyo are believed to have directed that discussions should be continued on the basis of the previous instructions. Japanese objections were reportedly focussed on the scope of application and puppet regime property clauses. The third formal meeting, which had been scheduled for 17th April, was postponed.

19th April. Twenty-first informal meeting. Was short and acrimonious. Yeh told Kawada that the latest Japanese proposals were entirely unacceptable and that no further concessions were possible from the Chinese side. It is believed that after the meeting, Kawada telegraphed the Japanese Government recommending some concession towards the Chinese point of view.

22nd April. Tokyo's reply to Kawada's recommendations received, but understood to contain only slight concessions and to include a counter-claim in respect of Japanese diplomatic properties on the mainland.

23rd April. Twenty-second informal meeting. Discussions centred on the scope of application and puppet regime property issues. The Japanese are reported to have given a blank refusal to the Nationalist claims on puppet regime property, and the Chinese to have agreed to return Japanese diplomatic property on the mainland, except that of the puppet regimes. (This is a small concession since, at the end of the war, there was only an insignificant amount of Japanese diplomatic property in the territory controlled by the Nationalist Government. On the other hand, during the greater part of the Sino-Japanese war of 1937-45, the Japanese had maintained strong diplomatic and consular establishments with the "puppet" regimes.

24th April. Twenty-third informal meeting. Discussions continued on the same subjects, the Chinese making new compromise proposals, which Kawada could not accept without reference to Tokyo.

25th April. Kawada sent a long cable to Tokyo containing latest Chinese offer to break the deadlock.

27th April. The reply to Kawada's telegram received and offered some concessions which were accepted by Chiang Kai-shek without further discussion or amendment.
The third formal meeting was then held at 9.45 pm on Sunday night. After the meeting the following joint communique was issued:

/ "The

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"The peace treaty and its supplementary documents that have been "agreed upon during past negotiations, were finalised. The "signing ceremony will be held at 3.00 pm Monday at the Government Guest House".

28th April. The ceremony of signing took place at 3.15 pm at the Government Guest House in Taipei. Although the press were present, the Corps Diplomatique were not invited to attend.

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Annexure "B".

ARTICLE BY ARTICLE COMMENTS ON THE PROVISIONS OF THE TREATY, PROTOCOL, EXCHANGE OF NOTES AND AGREED MINUTES.

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(References to the nearest corresponding article of the San Francisco Treaty are given, where appropriate, in brackets.)

TREATY PROPER.

Preamble. The wording is that of a straight-forward treaty of peace between the two governments and omits all references to the United Nations and other international obligations, which are included in the preamble to the San Francisco Treaty.

Article 1. (1) The wording follows that of the corresponding article of the San Francisco Treaty and makes no mention of the date the war began. (The Chinese delegation had pressed for the specific inclusion of 18th September, 1931, as the date of opening of hostilities, and the Japanese had as stubbornly opposed it). This inclusion would have given the Nationalists a legal basis for certain types of claims and civil actions(excluding reparations)in respect of loss and damage suffered by the Chinese Government or individuals, incidental to the Japanese occupation of Manchuria and other parts of the Chinese mainland).

Article 11. (2(b)) Follows the San Francisco Treaty in that Japan relinquishes her claim to Formosa and the Pescadores, but the final disposal of these territories is left open.

Article 111. (4) This article defers for later settlement the disposal of Japanese property in Formosa, and claims by Formosans(and mainlanders resident in Formosa), for assets held in Japan. All Japanese property in Formosa has, of course, already been confiscated and the Nationalists have tacitly set these valuable assets against their waiver of any claim for reparations.

Article 1V. The provision of this article(which is in the spirit of the San Francisco Treaty, but was not included in it), could be interpreted as Japanese acknowledgement of the Nationalists as the lawful successors of the war-time and pre-war Chinese governments, and thus, by implication, to confer a qualified recognition of their sovereignty over the mainland.

Article V. (10) The inclusion of this article in the bilateral treaty lends further support to the argument above.

Article V1. (5) No comments.

/Article V11.

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Article V11. (12(a)) This article provides for a separate agreement covering commercial relations, to be concluded later. Most-favoured-nation treatment and other conditions are dealt with in paragraph 2 of the protocol and not, as in the San Francisco treaty, in the treaty proper.

Article V111. (13(a)) This article provides for a separate agreement, covering civil air transport, to be concluded later. At one time during the negotiations, the Japanese had tried to exclude Nationalist air lines from the full privileges enjoyed by other nations' air lines in Japan. Although the equivalent of Article 13(b) of the San Francisco treaty, which confers equal rights to all Allied powers as regards air navigation, is omitted, the Nationalists have gained their point by the inclusion of Article X1 (see below). The matter is further safeguarded by the second exchange of notes and by para. 1(a) of the protocol.

Article 1X. (9) No comments.

Article X. No comments.

Article X1. This important article was included after much Japanese opposition, and is regarded by the Nationalists as giving them status as one of the Allied Nations, but see the exceptions provided for in para. 1(c) of the protocol.

Article X11. (22) It is, perhaps, worth noting that no provision is made for the settlement of disputes by the International Court of Justice or other arbiter.

Articles X111 (24) **and X1V** (27) No comments.

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PROTOCOL.

Para. 1. Qualifies the application of Article X1 of the bilateral treaty. Sub-para.(a) provides that any periods mentioned in the San Francisco treaty will apply equally to the bilateral treaty. They will, however, begin somewhat later, the difference being dependent on the time taken to complete ratification. Sub-para.(b) was another subject in which the Chinese met stubborn Japanese resistance. It will be noted that the formula finally adopted contains no admission of Japan's liability to pay reparations in principle. Moreover, the Japanese have made it clear in the 4th agreed minute, that their obligation to pay is limited to the loss of their overseas assets. Sub-para.(c) excludes the Nationalists from the power to grant clemency, etc., on sentences on war prisoners, and also from participating in any general settlement the Allied Nations may make with Japan over pre-war debts and obligations.

/ Para. 2(a)

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Para. 2(a). (12(b)(1)) The provisions regarding most-favoured-nation treatment follow generally those of the San Francisco treaty, except that mining rights and financial activities are exluded. These reservations are due to Chinese fears of a renewed Japanese industrial and financial exploitation of Formosa. It should be noted that the provisions of this sub-paragraph, together with the succeeding 3 sub-paragraphs only hold good for one year, with the object of hastening the conclusion of a commerce and navigation agreement.

Para. 2(b). (12(b)(c)) No comments.

Para. 2(c). (12(b)(2)) No comments.

Para. 2(d)(i) No comments.

Para.2(d)(ii) (12(d)) No comments.

EXCHANGE OF NOTES.

No. 1. Covers the scope of application of the treaty. The formula in the English version is, word for word, that used in Yoshida's letter to Dulles of December 24th, 1951. The Chinese pressed during the negotiations for the substitution of "and" (及) for "or"(又) in the text, and this change has been made in the Chinese and Japanese versions. No question of principle was involved and the dispute was due simply to the greater force which the word "or" carries in the Chinese and Japanese languages, as compared with English. (See also first agreed minute).

No. 2. Specifically gives Nationalist China the same civil air rights in Japan, as are enjoyed by the Allied nations(see comments on Artble V111 of treaty proper (above).

AGREED MINUTES.

No. 1. This removes any ambiguity in the use of "or" in the English version of the first exchange of notes.

No. 2. In this minute the Japanese have agreed in principle, to transfer "puppet regime" property in Japan to Nationalist China, in accordance with an agreement to be made later and the relevant provisions of the bilateral and San Francisco treaties. The items covered are the old Manchukuo "Embassy" in Tokyo and other similar property. Its value does not amount to more than a few hundred thousand US$. It should be noted that the terms of the transfer have yet to be agreed.

No. 3. (14(a)2(i) (ii) and 11. Exempts the Nationalist Government from the obligation to return the property of Japanese diplomatic and consular missions attached to the "collaborationist" regimes of Manchukuo, Wang Ching-wei, etc.

No. 4. See comments of protocol, para.1(b) above.

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Annexure "C".

STATEMENT OR CHINESE PLENIPOTENTIARY GEORGE K.C. YEH AFTER THE SIGNING OF THE SINO-JAPANESE PEACE TREATY, APRIL 28, 1952.

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The Treaty of Peace between China and Japan which I have just had the honor of signing on behalf of the Government of the Republic of China marks the fulfillment of the common desire of our two peoples not only to end the state of war which had been unhappily existing between them, but also to see the restoration of friendly relations on the basis of equality and cooperation.

Ever since September 2,1945, my Government has whole-heartedly and consistently worked with the other Allies for the early conclusion of a just and non-vindictive peace for Japan. There has been established today in Japan a stable and responsible government. The Japanese people have fully demonstrated their faith in a free and democratic way of life.

In conformance with the policy laid down by the founder of the Republic of China, Dr. Sun Yat-sen, that the security of Asia could be assured only through the sincere cooperation between the two neighboring Asiatic countries, China and Japan, President Chiang Kai-shek reiterated on June 18, 1951: "Since September 2, 1945, I have repeatedly stated that China would not adopt a vindictive attitude towards Japan. I have, both directly and indirectly, stressed the necessity of the early conclusion of a treaty of peace with Japan on the basis of a reasonably generous policy". In the talks leading to the signing of today's Peace Treaty, I have been guided by this same spirit of magnanimity. In a world seriously menaced by Communist aggression, we shall find that the mere faithful carrying out of the terms of the present Treaty of Peace may not suffice to ensure the peaceful cooperation of our two countries. It is my hope that this instrument will pave the way for further measures of Sino-Japanese cooperation. Any future efforts at strengthening the bonds between our two peoples will not only accrue to the interests of both countries, but will also contribute towards the buttressing of peace and security in the Far East.

In the course of the negotiations, despite the inevitable divergency of views, Mr. Kawada and I have never lost sight of the larger considerations of the need for laying a foundation upon which our two peoples may again live in peace and prosperity. If Mr. Kawada and his associates should stand in need of some consolation for the strenuous days they have spent in doing their part in bringing about the signing of the present Treaty, may they find comfort in the words of the Christian Gospel: "Blessed are the peace makers: for they shall be called the children of God".

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